

CHAPTER 64

An Act to increase the profits tax payable on distributed profits and sums treated as such.

[24th November 1949.]

Most Gracious Sovereign,

WE, your Majesty's most dutiful and loyal subjects, the Commons of the United Kingdom in Parliament assembled, have freely and voluntarily resolved that the profits tax should be increased in manner hereinafter mentioned; and do therefore most humbly beseech your Majesty that it may be enacted, and be it enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

1.—(1) The enactments relating to the profits tax shall be Rates of tax, amended as respects any chargeable accounting period ending etc. after the end of September, nineteen hundred and forty-nine, by substituting—

- (a) thirty per cent. for twenty-five per cent. as the rate of any tax not being a distribution charge; and
- (b) twenty per cent. for fifteen per cent. as the rate of any relief for non-distribution and (subject to the next following subsection) as that of any distribution charge;

and where any accounting period of a body corporate, unincorporated society or other body falls partly before and partly after the end of that month, the parts thereof falling before and after the end of the month shall be separate chargeable accounting periods.

(2) In the case of any trade or business, the amount on which a distribution charge is chargeable at twenty per cent. for any chargeable accounting period shall not, when added to the total of the amounts (if any) on which distribution charges at twenty per cent. have fallen to be made for previous chargeable accounting periods, exceed the total of the amounts on which reliefs for non-distribution have been given at twenty per cent. for previous chargeable accounting periods; and in so far as this subsection excludes the application to a distribution charge of paragraph (b) of the foregoing subsection, the rate of the charge shall be fifteen per cent.

(3) Where, in the case of any body corporate, society or other body, the net relevant distributions to proprietors for any chargeable accounting period ending after the end of September, nineteen hundred and forty-nine, are, under subsection (3) of section thirty-six of the 1947 Act as amended by section seventy

of the 1948 Act, to be treated as reduced by reference to a loan repaid whether before, during or after that period, the reduction shall be determined by reference to tax at twenty per cent. instead of fifteen per cent.:

Provided that, if a distribution charge is or would but for that subsection be chargeable for that period, then the reduction shall be calculated by reference to tax at fifteen per cent. up to the amount (if any) on which the distribution charge would, but for the reduction, be chargeable at fifteen per cent.

(4) Where under either of the following provisions of the 1947 Act, that is to say—

(a) subsection (4) of section thirty-six (which relates to schemes of amalgamation or reconstruction); and

(b) subsection (2) of section thirty-eight (which relates to companies having subsidiaries);

a difference in respect of which a non-distribution relief was given to or in respect of any body corporate is to be treated (in whole or in part) as if it had been a difference arising in relation to another body corporate on which non-distribution relief had been given to that body, then for the purposes of subsection (2) of this section relief shall be treated as having been given to the second mentioned body on the difference or the relevant part thereof at the rate or rates at which it was given on the difference to or in respect of the first mentioned body.

(5) In relation to an accounting period which is divided into two chargeable accounting periods by subsection (1) of this section, the enactments specified in the Schedule to this Act (which relate to the matters mentioned in the second column of that Schedule) shall have effect subject to the provisions set out in relation thereto in the third column thereof, being provisions designed to secure that the application of those enactments is not affected by the division.

Increases of
dividend.

2.—(1) If, in the case of any accounting period of a body corporate, unincorporated society or other body beginning before the end of September, nineteen hundred and forty-nine, the total of the dividends assignable to that period exceeds the governing total, any such dividends declared after the twenty-sixth of the said month shall, to the extent of the excess,—

(a) in determining the gross relevant distributions to proprietors for the chargeable accounting period beginning at the end of the said month or for that in which they are paid, whichever is later, be included as a distribution for that chargeable accounting period; and

(b) in determining those for any period other than the one last mentioned, be left out of account.

(2) The governing total for the purpose of subsection (1) of this section is, in relation to any accounting period of a body

corporate, society or other body, the total of the dividends assignable to the immediately preceding accounting period thereof:

Provided that—

- (a) where the amount of any class of paid up share capital on which dividends assignable to the preceding accounting period are paid is less than the amount of that class of paid up share capital on which dividends assignable to the succeeding accounting period are paid, then (subject to the next following subsection) the dividends on that class of capital assignable to the said preceding period shall, if the person carrying on the trade or business so elects, be treated for the purposes of this subsection as correspondingly increased; and
- (b) where the preceding accounting period is longer or shorter than the succeeding accounting period the total dividends assignable to the said preceding period shall be treated for the purposes of this subsection as correspondingly reduced or increased.

(3) For the purposes of proviso (a) to the last foregoing subsection, any increase in the amount of any class of paid up share capital on which dividends are paid shall be disregarded in so far as it represents shares which were previously unissued or not paid up but which have since been issued, or been treated as paid up, wholly or partly in consideration of the retention by the body or society, by way of set-off or otherwise, of sums distributable by way of dividend.

(4) For the purposes of this section, the dividends assignable to any accounting period are those expressed to be paid in respect of that period or any part thereof, but, in the case of an accounting period ending after the twenty-sixth of September, nineteen hundred and forty-nine, include also any dividends which are declared after that date and paid during the period and are not expressed to be paid in respect of any period.

(5) In this section, the expression “dividend” includes an interim dividend, and a dividend shall be treated as being declared—

- (a) in the case of a dividend declared by a body or society in general meeting, at the date of the declaration;
- (b) in any other case, at the date on which it is paid:

Provided that—

- (i) where a dividend is declared in general meeting in accordance with a recommendation of the directors and the directors’ decision to make that recommendation was, with the authority of the directors, publicly announced at an earlier date, the dividend shall, for the purposes of this section, be treated as declared at that earlier date; and

- (ii) where a dividend not so declared is paid in accordance with a decision of the directors, and that decision was, with their authority, publicly announced at an earlier date, the dividend shall, if the body or society so elects, for the purposes of this section be treated as declared at that earlier date.

Supplemen-
tary.

3.—(1) This Act may be cited as the Profits Tax Act, 1949.

(2) This Act shall be construed as one with Part IV of the 1947 Act.

(3) In this Act the expression "the 1937 (1941, 1947 or 1948) Act" means the Finance Act, 1937 (1941, 1947 or 1948, as the case may be).

Section 1.

SCHEDULE

OPERATION OF CERTAIN PROVISIONS IN RELATION TO DIVIDED ACCOUNTING PERIOD

Enactment.	Subject matter.	Modifications.
Section twenty-two of the 1937 Act.	Treatment of subsidiaries.	References in subsection (1) to a chargeable accounting period shall refer to the whole accounting period and a notice thereunder shall be deemed to be in force for and relate to either of the chargeable accounting periods into which the whole period is divided if, but only if, it relates to and is in force for the whole period.
Subsection (1) of section thirty-nine of the 1941 Act, as applied by section forty-three of that Act.	Application of changes in income tax law in computing profits.	The whole accounting period shall be treated as a single chargeable accounting period in determining the income tax law applicable.
Section thirty-one of the 1947 Act.	Exemption of individuals and partnerships of individuals.	Subsection (2) or (3) shall apply in relation to either of the chargeable accounting periods into which the whole accounting period is divided if, but only if, the subsection would apply in relation to the whole period were it a single chargeable accounting period.
Section thirty-nine of the 1947 Act.	Persons resident outside United Kingdom.	Subsection (1) or (2) shall apply in relation to either of the said chargeable accounting periods if, but only if, the subsection would apply in relation to the whole accounting period were it a single chargeable accounting period.

SCH.
—cont.

Enactment	Subject matter	Modifications.
Section forty of the 1947 Act.	Nationalised undertakings.	Subsection (1) shall apply in relation to either of the said chargeable accounting periods if, but only if, the subsection would apply in relation to the whole accounting period were it a single chargeable accounting period.
Paragraph 3 of Part I of the Ninth Schedule to the 1947 Act.	Double taxation relief (requirement as to residence in United Kingdom).	Credit shall not be allowed in relation to either of the said chargeable accounting periods unless it would be allowed in relation to the whole accounting period were it a single chargeable accounting period.

CHAPTER 65

An Act to empower the Treasury, under section twelve of the Overseas Resources Development Act, 1948, to guarantee other charges, as well as interest, in respect of loans made to the Corporations established under that Act.

[24th November 1949.]

BE it enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

1.—(1) Subsection (2) of section twelve of the Overseas Resources Development Act, 1948 (which empowers the Treasury to guarantee the payment of the principal of, and interest on, authorised borrowings of the Corporations established under that Act) shall have effect as if for the words “the payment of the principal of and interest on” there were substituted the words “the repayment of the principal of and the payment of interest and other charges on”.

Amendment of
11 & 12 Geo. 6.
c. 15, s. 12 (2).

(2) This Act may be cited as the Overseas Resources Development Act, 1949; and the said Act of 1948 and this Act may be cited together as the Overseas Resources Development Acts, 1948 and 1949.